



THE FIRSTS FUND

BPI FIRSTS GROWTH FUND — FUND FACT SHEET

Theme: Global thematic — infrastructure buildout · As of August 7, 2026

*“Fund your firsts —
not just your someday.”*

INVESTMENT OBJECTIVE, THEME & THE NEED WE ADDRESS

Objective. The Fund seeks **long-term capital appreciation** by investing in companies building the infrastructure the next generation of Filipinos is about to use — the power, connectivity, trade, healthcare and enterprise capacity underwriting the first salary, the first home, the first business and the first ₱100,000.

Theme: global thematic — infrastructure buildout. Cross-sectoral and cross-border, spanning energy transition, digital infrastructure, trade, healthcare capacity and digital financial access, expressed through five pillars — **EARN · MOVE · LIVE · CONNECT · THRIVE** — at 30% Philippines / 65% offshore.

Structure serves the objective. A **unitized** open-end investment company: fractional units make the ₱100 minimum possible, daily dealing supports peso-cost averaging, and the open-end form lets the manager size positions by conviction and volatility rather than by share indivisibility — which is what makes a risk-budgeted ten-holding portfolio workable at retail scale.

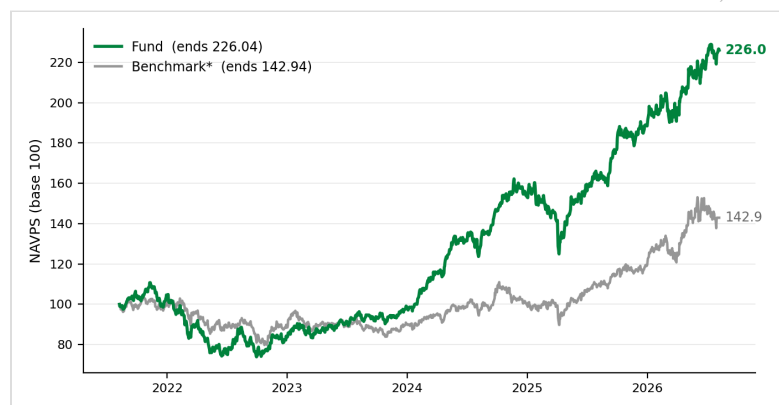
The need. Only **23% of Filipino adults hold any investment**, down from 36% in 2021 (BSP). The barrier for ages 18–25 is not price — ₱50 buys a fund on GCash today — but that a standard Client Suitability Assessment scores a young person with no emergency fund as *Conservative*, barring them from the growth assets a 40-year horizon requires. **A young Filipino's human capital is already a 100% concentrated bet on the Philippine economy**; 65% offshore is the correct diversification response to what they already own.

CLIENT SUITABILITY

Suitable for investors who:

- Are classified at least **Aggressive** under a horizon-weighted risk profile, or have completed the Firsts education-gated unlock;
- Have an investment horizon of at least **five (5) years**;
- Accept that in the worst 12 months of our simulation the Fund fell **30.22%**, and will remain invested through it.

HYPOTHETICAL PERFORMANCE AND STATISTICS — simulated; the Fund has no operating history and this is not a guarantee of future results



Simulated NAVPS of the Fund against its blended benchmark, both rebased to 100 at inception (9 August 2021). Net of the 1.50% management fee accrued daily.

Benchmark: 35% PSEi Total Return + 65% MSCI AC Asia Pacific ex-Japan (PHP), rebalanced quarterly — **measurement only**; the Fund does not replicate, sample or track it. **Why this window:** the simulation spans a full cycle including the 2022 drawdown. A window beginning 2024 would have shown ~44% annualised and a Sharpe above 2 with no losing 12-month period — an artefact of a favourable stretch for AI-linked equities. We report the harder number. Gross 19.55%; net of the 1.50% fee accrued daily, 17.74%. 1,293 daily observations, 9 Aug 2021 – 7 Aug 2026.

HYPOTHETICAL BACK-TEST. Model weights applied retrospectively with quarterly rebalancing. Excludes transaction costs, bid-ask spread, market impact and withholding tax on foreign dividends. The Fund has no operating history.

• THE MUTUAL FUND IS NOT A DEPOSIT AND IS NOT INSURED BY THE PHILIPPINE DEPOSIT INSURANCE CORP. (PDIC). • RETURNS CANNOT BE GUARANTEED AND HISTORICAL NAVPS IS FOR ILLUSTRATION OF MOVEMENTS/FLUCTUATIONS ONLY. • WHEN REDEEMING, PROCEEDS MAY BE WORTH LESS THAN THE ORIGINAL INVESTMENT AND ANY LOSSES WILL BE SOLELY FOR THE ACCOUNT OF THE CLIENT. • THE FUND MANAGER IS NOT LIABLE FOR ANY LOSS UNLESS UPON WILLFUL DEFAULT, BAD FAITH OR GROSS NEGLIGENCE. • AVAILABLE TO RESIDENT CITIZENS OR INVESTORS OF LEGAL AGE, SUBJECT TO EXISTING PHILIPPINE LAWS.

FUND FACTS

Classification:	Actively Managed Equity Fund
Structure:	Unitized Open-End Investment Co.
Risk Rating:	Aggressive
Dealing Day:	Daily up to 2:00 PM
Minimum Investment:	PHP 100.00
Min. Subsequent Order:	No minimum ¹
Minimum Holding Period:	90 calendar days
Redemption Settlement:	T+2 End-of-Day
Early Redemption Charge:	1.00%
Total Management Fee: ²	1.50% per annum
Base Currency:	Philippine Peso (PHP)
Number of Holdings:	10 equities + cash

THE GAP WE FILL

Fund / Platform	Min.	Mandate	5-yr p.a.
Sun Life Peso Starter	₱100	Money market	—
ATRAM via GCash	₱50	Index / feeder	—
GFunds			
ALFM Growth Fund	₱1,000	PH equity	1.13%
The Firsts Fund	₱100	Direct global equity	17.74%*

Low minimums are already solved; participation still fell 36%→23%. Cheap products are capital-preservation, passive or feeder structures. ALFM Growth is a genuine growth mandate at ₱1,000 — yet unreachable: it needs an *Aggressive* profile most 18–25s cannot obtain, and as mutual fund shares **cannot be fractional**, at NAVPS ₱223.09 its smallest top-up is ₱223. **Price is not the gate.** *Hypothetical, different period — not directly comparable.

	ANNUALISED (%) ³	5 YRS
Fund (net of fees)		17.74
Benchmark		7.42
Excess return		+10.32
Simulated NAVPS (base 100)		226.04
Benchmark, same basis		142.94
Annualised Volatility		16.63%
Sharpe Ratio⁵		0.75
Sortino Ratio		1.17
Maximum Drawdown		-33.25%
Worst Rolling 12-Month		-30.22%
12-Month Periods Positive		84%
Beta vs. Benchmark		0.68
Tracking Error / Info Ratio⁶		13.32% / 0.68
Active Share		~93%

¹Units transact to 0.0001 of a unit; the Fund is **unitized**, so fractional units are issued — conventional mutual fund *shares* cannot be, which is why a ₱100 contribution is structurally impossible in a share-based fund. ²Management, distribution and transfer agency fees. ³Returns are net of fees. ⁵Excess return over the 91-day Philippine T-bill (5.25%) per unit of total risk. ⁶Active return per unit of tracking error.

WHY THIS THEME IS INVESTABLE — the published buildout programmes behind every holding

Structural driver	Evidence	Pillar
AI-driven power demand	Global data-centre electricity demand set to more than double to ~945 TWh by 2030 , from 415 TWh in 2024; AI's share of that load rising from 5–15% to 35–50% (IEA, <i>Energy and AI</i>)	LIVE · CONNECT
PH energy transition	DOE target of 35% renewable generation by 2030 and 50% by 2040, ~15 GW of clean capacity to be installed (National Renewable Energy Programme 2020–2040)	LIVE
PH digital infrastructure	PH data-centre market USD 735M (2025) → USD 2.48B (2031) , 22.5% CAGR ; ~500 MW installed across 28 facilities with 13 more in build	CONNECT
ASEAN capacity build	Contracted hospital-bed expansion, disclosed multi-year semiconductor fab capex and port capacity programmes — all published and independently verifiable	THRIVE · EARN · MOVE

Every holding must tie to one of these published buildout programmes — that is gate B1 below. **A theme with no verifiable capacity programme behind it is a story, not an investment thesis**, which is why the gate rejects companies whose growth is demand-led rather than capacity-led.

INVESTMENT PROCESS — HOW EVERY HOLDING AND EVERY WEIGHT IS DERIVED

STEP 1 **THE BUILDOUT TEST** — binary gate; all four must pass:

Gate	Requirement
B1 Buildout	≥20% of revenue or 3-yr capex tied to a <i>published</i> national or regional capacity target
B2 Liquidity	ADTV ≥ ₱30M (PH) / \$5M (offshore); free float ≥20%
B3 Solvency	Net debt/EBITDA ≤4.0× or net cash ; where net debt is positive, EBIT interest cover ≥2.5×
B4 Conduct	No thermal coal >10% of revenue; no UNGC breach

The gate binds. Rejected despite quality: Jollibee, BDO and SM Prime (B1 — demand-led expansion is not a published capacity programme); Semirara and DMCI (B4 — thermal coal); AyalaLand Logistics (redundant — consolidated within Ayala Land).

STEP 2 THE FIRST SCORE — 0–100 conviction:		
Factor	Wt.	Measure
F — Future Relevance	25%	Scale & duration of buildout; backlog
I — Impact on Youth	15%	Link to a named “first”
R — Resilient Finances	25%	ROIC, FCF conversion, leverage
S — Sensible Valuation	20%	EV/EBITDA, PEG vs own history
T — Trust & Governance	15%	CG scorecard, float, related-party

STEP 3 **RISK-BUDGETED WEIGHTING**. Weight = **FIRST Score** + **Volatility**, water-filled against caps of 12% per security, 15% per conglomerate, 25% per sector and 30% ±3pp Philippine exposure. **No weight is chosen by hand**. STEP 4 **DISCRETIONARY OVERLAY**. The manager may deviate ±3pp on valuation or event risk and hold up to 10% tactical cash, with written rationale. Quarterly rebalance, ±2.5pp drift band; expected turnover 30–50%.

TOP HOLDINGS — the entire portfolio; there are no others

Security	Pillar	Buildout Anchor (B1)	Vol.	%
DBS Group Holdings SGX:D05	CONNECT	ASEAN digital banking infrastructure	18.6	12.00
IHH Healthcare SGX:Q0F	THRIVE	Contracted hospital bed capacity, ASEAN	21.5	12.00
Schneider Electric EPA:SU	LIVE	Grid intelligence & data-centre energy mgmt	31.6	11.73
Int'l Container Terminal Svcs PSE:ICT	MOVE	Terminal capacity expansion, ~20 countries	35.7	11.00
Century Pacific Food PSE:CNPF	THRIVE	Manufacturing capacity build; export revenue	35.7	9.75
Taiwan Semiconductor NYSE:TSM	EARN	Disclosed multi-year fab capacity capex	40.2	9.69
ACEN Corporation PSE:ACEN	LIVE	7,001 MW RE vs DOE 35%-by-2030 target	38.6	9.26
Grab Holdings NASDAQ:GRAB	MOVE	ASEAN mobility & delivery network buildout	41.7	7.60
Sea Limited NYSE:SE	EARN	Shopee/SeaMoney rails for youth micro-enterprise	49.5	6.58
Vertiv Holdings NYSE:VRT	CONNECT	Data-centre power & thermal; layer under AI compute	63.7	5.40
PHP Money Market direct T-bills & time deposits	RESERVE	Redemption liquidity — not units in another fund	—	5.00

Read weight against volatility. Vertiv carries the highest risk cost at 63.7% volatility and therefore the smallest position; DBS at 18.6% is capped at 12.00% only because the single-security limit stops it going higher. This inverse relationship is the methodology made visible.

SECTOR ALLOCATION

Transport & Logistics	18.60	Consumer Staples	9.75
Electrical Equip. & Industrials	17.13	Semiconductors	9.69
Financials	12.00	Utilities & Power	9.26
Healthcare	12.00	Internet & E-Commerce	6.58
Cash & Money Market	5.00		

GEOGRAPHIC ALLOCATION — <i>by listing / by revenue source</i>				
By listing venue		%	By revenue source	%
Philippines		30.01	Global / multi-region	~34
Singapore		26.18	SE Asia ex-PH	~28
Malaysia		12.00	N. America & Europe	~16
France		11.73	Philippines (domestic)	~17
Taiwan / US / Cash	9.69 / 5.40 / 5.00	Cash (PHP)		5.00

Why two panels. Listing venue is not economic exposure. ICTSI is PSE-listed but earns most revenue from terminals outside the Philippines; reporting only by listing would overstate true domestic concentration. Revenue-source figures are estimated from latest segment disclosures.

ASSET ALLOCATION

Listed Equities	95.00	Cash & Money Market	5.00
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KEY RISKS AND RISK MANAGEMENT

Risk	Evidence	Mitigant
Equity market	Simulated max drawdown ~33.25%; worst 12 months ~30.22%; 16% of 12-month periods negative	5-year minimum horizon; default peso-cost averaging; drawdown disclosed and acknowledged at onboarding
PH governance & market integrity	Transparency Int'l CPI 2025: 120/182, score 32 — lowest since 2012. Flood-control scandal: ₱545B spent since 2022, up to ₱118.5B potentially lost; PSE shed ~₱185B market cap in August	PH capped at 30%; B4 conduct gate; ≥20% free-float minimum; preference for globally-diversified revenue bases
PH liquidity & delisting	Eight major firms delisted 2023–26, withdrawing >₱580B; ~₱2 exits per ₱1 raised via IPO since 2023	B2 liquidity gate; position liquidatable in 5 days at ≤15% of ADTV; large-cap only, no PH small/mid caps
Domestic macro	World Bank cut 2026 PH growth forecast to 3.7% from 5.3%; fixed investment to contract 0.5%	PH holdings selected for offshore revenue; true domestic-demand exposure ~17%
Currency	65% of assets non-PHP	Unhedged by design — offsets the investor's 100% peso human capital. Reviewed semi-annually
Concentration	10 holdings	12% single-security, 15% conglomerate and 25% sector caps, enforced programmatically

THE TEAM

Prince Angelo Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thirdy Mendez
BS Applied Mathematics – MS Data Science, Ateneo de Manila University

Why this team built this fund. Every weight on this sheet is the output of a purpose-built Python optimiser written by the team — a conviction-scored inverse-volatility engine with water-filled constraint satisfaction, validated against 1,293 daily observations across six exchanges and four currencies, with automated data-integrity checks and programmatic verification that all four allocation constraints hold simultaneously. The optimiser is available for inspection, as is every input that produced these numbers.

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Sources: BSP Consumer Finance Survey 2025; Transparency International CPI 2025; World Bank Philippines Economic Update mid-2026; DOE National Renewable Energy Programme 2020–2040; IEA *Energy and AI*; ALFM Growth Fund Fact Sheet 30 Jan 2026; company disclosures. Prepared by Team Firsts for FinQuest 2026. Not an offer to sell or a solicitation to buy any security.



THE PROBLEM EVERYONE IS SOLVING — AND THE ONE THAT ACTUALLY BINDS

Investment participation among Filipino adults **fell from 36% in 2021 to 23% in 2025** (BSP Consumer Finance Survey). The industry's response has been to lower minimums and digitise onboarding.

That experiment has already been run, and it failed. A Filipino can today buy an equity fund on GCash for **₱50**. Sun Life's Peso Starter Fund accepts **₱100**. Onboarding is fully digital across the industry. And participation *still fell by thirteen percentage points*. **The minimum was never the binding constraint** — which is why lowering it again would not work either.

When a 20-year-old opens any Philippine investment app, they complete a Client Suitability Assessment asking about emergency funds, income stability and investment experience. Having none of the three, they score **Conservative** — and are therefore **barred from equity funds**, sold only to investors profiled Aggressive. The ALFM Growth Fund is explicit: suitable for investors “at least classified as aggressive.”

The binding constraint on youth investing is not price. It is the suitability gate. Cheap access exists — but only into products a conservative profile permits. Sun Life's ₱100 fund is a **money market fund**. A young Filipino can start investing for ₱100 today; they simply cannot reach a growth asset at that price without being profiled out of it.

The CSA is not wrong; it measures the wrong thing. It assesses *current* risk capacity, which systematically mis-prices a 20-year-old. For an investor with a forty-year runway and no dependants, the dominant risk is not volatility — it is a **lifetime of zero equity exposure**. A framework built to protect young Filipinos is excluding them.

THE INSIGHT THAT SHAPES THE PORTFOLIO

A young Filipino's human capital is already a 100% concentrated, unhedgeable bet on the Philippine economy. At 22, the largest asset a person owns is not their portfolio but the present value of their future earnings — entirely peso-denominated, entirely exposed to domestic employment, inflation and property prices, and impossible to sell or hedge.

Building a PSEi-heavy portfolio on top of that is not patriotism. It doubles down on a risk they are already maximally exposed to, at exactly the age when that concentration is largest relative to net worth. The Firsts Fund holds **30% Philippines and 65% offshore** — not a verdict on the country, but the correct diversification response to what the investor already owns. **The Fund earns in hard currency while the investor's salary, rent and future home price are in pesos.**

This is consistent with BPI Wealth's existing shelf, which already includes the BPI US Equity Index Feeder Fund, the BPI European Equity Feeder Fund and the ALFM Global Multi-Asset Income Fund. The Firsts Fund is not a feeder fund: it holds ten directly-purchased listed equities and zero units in any collective investment scheme.

POSITIONING — WHAT IS ALREADY AVAILABLE, AND WHAT IS MISSING

Fund / Platform	Min.	Mandate	Structure	The gap it leaves
Sun Life Prosperity Peso Starter	₱100	Money market — short-term Peso debt	Direct	Cheap access, no growth. Explicitly for <i>conservative</i> investors on a short horizon. A 40-year runway in T-bills is a guaranteed real-terms loss.
ATRAM funds via GCash GFunds	₱50	PH equity index; global thematic	UITF; global sleeves are feeder funds	Cheapest access in the market — but PH equity is passive index exposure, and global exposure comes only via feeder structures layering a second fee.
ALFM Growth Fund	₱1,000	PH equity, ≥75% equities	Direct, share-based	A genuine growth mandate — affordable, still out of reach. Requires an <i>Aggressive</i> CSA classification most 18–25s cannot obtain. Fee 2.00%. And as mutual fund shares cannot be fractional , at NAVPS ₱223.09 its smallest top-up is ₱223 . 5-yr return: 1.13% net.
The Firsts Fund	₱100	Global buildout equity, 30% PH	Direct — no CIS holdings	The only combination of low minimum, genuine growth mandate, direct global exposure and a suitability pathway. Fee 1.50%.

Terms as published by each manager. ALFM figures from the ALFM Growth Fund fact sheet, 30 January 2026. **The ₱100 minimum is not our innovation — it already exists.** What does not exist is a low-minimum route into a *growth* asset a young Filipino is permitted to buy. Every cheap product is capital-preservation, passive, or a feeder fund; every genuine growth mandate is gated by suitability and by share indivisibility.

The most important number on this page is 1.13% — the ALFM Growth Fund's five-year annualised return, net of fees, published by BPI Wealth itself. Its benchmark (90% PSEi + 10% T-bill) returned **−0.34%**. A young Filipino who cleared the suitability gate and stayed invested five years in the country's flagship aggressive equity fund **still lost purchasing power to inflation**. The manager beat its benchmark by 147 bps annually: **the mandate failed, not the manager** — and that is the case for building the portfolio somewhere else.

WHAT THE FUND OWNS

Ten holdings across five pillars a 19-year-old can name: **EARN, MOVE, LIVE, CONNECT, THRIVE**. Every holding must clear a binary **Buildout Test** — ≥20% of revenue or three-year capex tied to a *published* national or regional capacity target. The gate binds: it rejects Jollibee, BDO and SM Prime on B1, Semirara and DMCI on conduct. Weights are then computed as **conviction ÷ volatility**, water-filled against hard caps; **no weight is chosen by hand**. Over five years including the 2022 drawdown the portfolio returned **17.74% net** against a benchmark of 7.42%, with a maximum drawdown of **−33.25%** and a worst rolling twelve months of **−30.22%**. That last figure is not a footnote — it is the centrepiece of how we onboard investors.

THE MESSAGE

“Your first salary should fund more than this month. Fund your firsts — not just your someday.”

Why retirement framing fails. Every existing fund sells a 40-year horizon to someone who cannot picture being 30. Retirement is not a goal for a 20-year-old; it is an abstraction belonging to their parents. But **firsts are vivid, near, and emotionally loaded**: the first ₱100,000. The first apartment deposit. The first business. The first time you cover a family emergency without asking anyone.

The Firsts Fund reframes a five-year horizon not as “the long term” but as **the distance between now and the next version of your life**. That is the same asset allocation, sold against a goal the investor can actually see.

THE FIVE BARRIERS — AND THE SPECIFIC MECHANIC THAT ANSWERS EACH

Barrier	What it sounds like	Our mechanic
Low income	"I don't have spare money to invest."	₱100 minimum , made structurally possible by a unitized fund transacting to 0.0001 of a unit. Classic mutual fund shares cannot be issued fractionally — this is a structural choice, not a marketing one.
Intimidation	"This is for people who know things I don't."	Five pillars named in plain language. Every statistic carries a one-line explanation. No jargon appears without its translation attached.
Fear	"What if I lose everything?"	Drawdown pre-commitment . Before investing ₱1 you are shown -30.22% — our worst simulated year — and must acknowledge it. We lead with the loss.
Lack of knowledge	"I wouldn't know where to start."	Education-gated unlock : a 3-minute module that also serves as the compliance pathway for a conservatively-scored investor. Learning is the door, not a detour.
Distrust	"Funds are how institutions take your money."	We publish the weighting engine . The code that computes every position is open and auditable. Anyone can verify that no weight was chosen by hand.

On distrust specifically. This generation grew up watching institutions fail publicly. Against that, a brochure promising trustworthiness is worthless. **Verifiability beats assurance**. Publishing the optimiser — “here is the formula, here are the constraints, run it yourself” — is a trust signal no competitor can match with copy.

THE LAUNCH CAMPAIGN — “THE FIRST ₱100”

A single, repeatable, screenshot-native action. Not “start investing” — **“post your first ₱100.”** The campaign asks young Filipinos to name the first they are funding and share the confirmation screen. The unit of virality is a real ₱100 transaction, not a pledge.

GO-TO-MARKET — THREE PHASES, TWELVE MONTHS

Phase	Channel	Rationale & execution
1 Mo. 1–3 Campus	Ateneo, UP, DLSU, UST, PUP + state universities. “Firsts Week.”	Highest-density concentration of the exact target age with institutional access already available through university finance and economics organisations. Live portfolio-construction workshops using the published engine — the product demonstrates itself.
2 Mo. 2–6 Digital	In-app placement; TikTok and Instagram creators in personal finance	58% of Filipino adults already use e-wallets and digitally-embedded investment platforms (BSP, 2026), and GCash alone passed 100 million registered users in early 2026. Creator content is case-study format (“how I funded my first apartment deposit”), never price prediction.
3 Mo. 4–12 First Payslip	BPI corporate payroll clients, weighted to the IT-BPM sector	The single highest-intent moment in a young person's financial life is the first payslip. BPI already holds the payroll relationship. Onboarding is offered at account activation: “your first salary lands Friday — what's your first?” This is distribution no fintech competitor can replicate.

DISTRIBUTION ADVANTAGE

Beyond the BPI app, the natural second channel is **GCash**, which crossed **100 million registered users** in early 2026 with an estimated 20–25 million daily active. GCash already operates an investment marketplace distributing third-party funds, and both BPI and GCash's operator sit within the **Ayala group** — making a distribution partnership commercially and structurally realistic rather than aspirational. **Placement inside an app young Filipinos already open daily removes the single largest friction in fund distribution: getting them to open a new app at all.**

Campaign success metrics: cost per funded account (target <₱350); funded-account conversion from module completion (target >40%); share of accounts opened by investors aged 18–25 (target >70%); organic-to-paid acquisition ratio by month 9 (target >1.0).

PLATFORM

Primary: the BPI mobile app. Secondary: GCash's investment marketplace. Both are applications the target investor already has installed and opens for unrelated reasons. We add a destination inside an existing habit rather than asking them to build a new one.

ONBOARDING — FIVE STEPS, UNDER TEN MINUTES

Step	Design intent
1 e-KYC — ID + liveness selfie	Fully digital, no branch visit. Under 5 minutes. Existing BPI clients skip entirely.
2 Horizon-weighted CSA	A suitability model that weights time horizon and human capital alongside current financial capacity — correcting a framework that systematically scores a 40-year investor as Conservative.
3 Education-gated unlock	An investor still scored conservatively completes a 3-minute module on equity risk and time. Academic work on Filipino Gen Z investing finds perceived behavioural control — literacy and self-efficacy — is the strongest predictor of investment intention . Confidence, not income, is the binding constraint. The module is the intervention.
4 Drawdown pre-commitment	The investor is shown -30.22% , our worst simulated 12 months, and types the figure to acknowledge it. This converts a future shock into a promise already made — and it is the single most effective retention mechanic in the design.
5 First ₱100 + auto-invest	Recurring contribution is offered on by default , aligned to payday. Opting out is possible; doing nothing invests.

APPEARING IN THE DAILY ROUTINE

Round-Up Investing

Every card or QR transaction rounds up to the nearest ₱10, sweeping the difference into the Fund. With **58% of Filipino adults transacting on e-wallets** and QR now the default in-store rail, the volume is already there. A ₱87 milk tea contributes ₱3. The investor's existing spending becomes the funding mechanism, requiring no new behaviour and no felt sacrifice.

Payday Auto-Debit

Scheduled to the day salary lands, before discretionary spending begins. Peso-cost averaging by default removes market timing as a decision the investor has to make.

What the Home Screen Shows — and Deliberately Does Not

No daily profit and loss. Daily returns are noise at a five-year horizon, and displaying them manufactures exactly the anxiety that drives panic redemption. Instead: **progress toward the named first** ("₱12,500 of ₱50,000 — First Business"), **time invested**, and **total contributed versus current value**. Daily performance remains available, but the investor must choose to look.

STAYING INVESTED THROUGH A DRAWDOWN — WHERE FUNDS ACTUALLY LOSE PEOPLE

Trigger	Response
Fund falls >10% in 30 days	A notification that explains <i>which holdings moved and why</i> , then replays the investor's own pre-commitment: "You said you were ready for -30%. You're at -12%. This is what you signed up for."
Investor opens the redemption screen during a drawdown	An interstitial — not a block — showing what redeeming now would have cost in every previous drawdown in the simulation, and the 90-day holding period plus 1.00% early redemption charge. Then the button. Friction, never obstruction.
Monthly, regardless of market	"What moved your money" — three plain-language bullets. Builds the habit of reading a market explanation in calm conditions so it is familiar in volatile ones.

MAKING FINANCIAL INFORMATION LEGIBLE TO A BEGINNER

Every metric on the fact sheet carries a plain-language translation in-app. *Sharpe ratio 0.75* becomes "for every unit of risk taken, the fund earned 0.75 units of reward above a government T-bill." *Maximum drawdown -33.25%* becomes "the worst peak-to-trough fall in our five-year simulation." **We never remove the technical term — we attach its meaning.** The investor who wants to learn the vocabulary can; the one who doesn't is not excluded.

MEASURING WHETHER THE EXPERIENCE WORKS

Metric	Target	Why this measures the habit, not the sale
12-month account retention	>75%	Anyone can acquire an account with a ₱100 minimum. Retention is the only honest test.
Redemption rate during any >10% drawdown	<15%	The single most important number. It measures directly whether the pre-commitment and coaching mechanics work.
Contribution consistency (≥6 contributions in 12 mo.)	>60%	Distinguishes a habit from a one-time deposit.
Median holding period at month 24	>18 mo.	Tests whether the 5-year framing actually changed behaviour.
Education module completion	>80%	Validates the unlock as a genuine intervention rather than a compliance formality.
Median contribution growth, yr 1 → yr 2	>25%	Confirms investors scale contributions as income rises — the fund growing with the first salary.

The measurement philosophy. AUM and account count are lagging vanity metrics; both can be bought with marketing spend. **Redemption behaviour during drawdowns is the only metric that reveals whether we built a habit or merely a transaction** — and it is the one the entire customer experience is engineered to move.

A1. EVIDENCE BASE — EVERY CLAIM AND ITS SOURCE

Claim	Figure	Source
Filipino adults holding any investment	23% (from 36% in 2021)	BSP, Consumer Finance Survey 2025
Adults using e-wallets / embedded investment platforms	58%	BSP, 2026 (cited in FinQuest 2026 primer)
Adults confident savings survive an emergency	~3 in 10	BSP, Consumer Finance & Inclusion Survey 2025
Strongest predictor of Gen Z investment intention	Perceived behavioural control	Theory of Planned Behavior study, Philippine Gen Z investing
Lowest equity-fund entry available in PH	₱50	GCash GFunds (ATRAM funds), published terms
Sun Life Peso Starter minimum & mandate	₱100, money market	Sun Life Prosperity fund documentation (formerly Sun Life Prosperity Money Market Fund)
GCash registered users	100M+	Company announcement, early 2026
ALFM Growth Fund — terms, performance, share indivisibility, risk stats	₱1,000 · 2.00% · Aggressive · ≥5yr · 1.13% 5-yr net vs -0.34% benchmark · NAVPS ₱223.09 · beta 1.01 · Sharpe 0.38 · 29 holdings	ALFM Growth Fund, Inc. Fund Fact Sheet, 30 January 2026 (primary source). Fact sheet states: "Mutual Fund shares do not issue fractional shares"; "Transaction amount must be equivalent to at least 1 share"
Philippine corruption perceptions	120/182, score 32	Transparency International CPI 2025 — lowest since 2012
2026 PH growth forecast revision	3.7% (from 5.3%)	World Bank, Philippines Economic Update, mid-2026
PSE market cap decline, August	~₱185B	PSE data. We deliberately use ₱185B rather than the far larger figure widely circulated at the time, which the SEC subsequently retracted and apologised for after it was traced to a fictitious industry report
Capital withdrawn via delisting, 2023–26	>₱580B (8 firms)	PSE delisting records
Global data-centre electricity demand by 2030	~945 TWh (from 415 TWh in 2024)	IEA, <i>Energy and AI</i>
Philippine renewable generation target	35% by 2030	DOE, National Renewable Energy Programme 2020–2040

A2. BACK-TEST METHODOLOGY & LIMITATIONS — stated in full because the result depends on them

Construction. Weight = FIRST conviction score ÷ 3-year annualised volatility, water-filled against caps of 12% per security, 15% per control group, 25% per sector and 30% ±3pp Philippine exposure. Quarterly rebalancing with intra-quarter drift.

Data. 1,293 daily observations, 9 Aug 2021 – 7 Aug 2026, six exchanges, four currencies. All series converted to PHP daily; SGD, MYR and EUR derived as cross-rates through USD. Offshore prices adjusted for dividends and splits. Philippine prices sourced manually, as Yahoo Finance no longer serves individual PSE equities.

Fees. The 1.50% management fee is accrued daily against NAV; reported returns are net, per ALFM convention.

Not modelled — and therefore overstating returns: transaction costs, bid-ask spread, market impact, withholding tax on foreign dividends, and cash drag from subscription and redemption flows.

Window selection. The five-year window deliberately spans a full cycle including the 2022 drawdown. An earlier specification using GE Vernova — listed only from March 2024 — truncated the panel to 2.3 years and produced roughly 44% annualised (gross), a Sharpe above 2, and no negative 12-month period whatsoever. Those figures are an artefact of an exceptionally favourable window for AI-linked equities, not evidence of skill. Schneider Electric was substituted specifically to obtain a full-cycle result. **We report the harder number.**

Survivorship. Holdings were selected in 2026 and tested on 2021–26 data; like all back-tests this carries hindsight bias. The result demonstrates that the methodology produces a coherent risk-budgeted portfolio, not that these ten securities were knowable in 2021.

Comparison to ALFM Growth is not like-for-like. Our 17.74% is a hypothetical simulation (Aug 2021–Aug 2026); their 1.13% is actual, realised (Jan 2021–Jan 2026) with real costs and flows. The legitimate inference concerns mandate design, not relative manager skill.

A3. REGULATORY POSITION

Structure	Definition	The Firsts Fund
Feeder fund	≥90% of assets in a single collective investment scheme	Not applicable — 0% in any CIS
Fund-of-funds	≥90% of assets in more than one CIS	Not applicable — 0% in any CIS
Directly-invested fund	Holds individual securities selected by the manager	95% direct listed equities, 5% direct T-bills and time deposits

Definitions per Section 414 of the MORB and Section 414-Q of the MORNBF1, as amended by BSP Circular No. 1152-22. The 5% reserve is held in direct instruments rather than money market fund units, avoiding both fee layering on the Fund's 1.50% and any related-party question. **The unitized structure is load-bearing:** conventional SEC-registered mutual fund shares cannot be issued fractionally, making a ₱100 minimum structurally impossible without it.

A4. REFERENCES

Bangko Sentral ng Pilipinas (2025). *Consumer Finance Survey 2025* · BSP (2026). *BSP notes rise in account ownership in SWS survey*, PIA · Transparency International (2026). *Corruption Perceptions Index 2025* · World Bank (2026). *Philippines Economic Update, mid-2026* · Department of Energy (2020). *National Renewable Energy Programme 2020–2040* · International Energy Agency (2025). *Energy and AI* · BSP Circular No. 1152-22, amending Sec. 414 MORB / 414-Q MORNBF1 · SEC. *Implementing Rules and Regulations of the Investment Company Act* · BPI Wealth published fund fact sheets and prospectuses (ALFM Growth Fund 30 Jan 2026; ALFM Money Market Fund; ALFM Peso Bond Fund) · Sun Life Prosperity Funds documentation · GCash GFunds published terms · Philippine Stock Exchange delisting records and index data · Company annual reports and disclosures for all ten holdings.

Prepared by: Prince Angelo Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thirty Mendez — BS Applied Mathematics / MS Data Science, Ateneo de Manila University. The portfolio optimiser underlying this proposal was written by the team in Python and is available for inspection. **This document is a competition proposal. It is not an offer to sell or a solicitation to buy any security. All performance shown is a hypothetical simulation; the Fund has no operating history.**